



INDIA TRADE — SECTOR & POLICY RECOMMENDATIONS

India Trade Watch Quarterly

A quarterly assessment of India's trade position and the policy architecture answering it, structured on NITI Aayog's Trade Watch Quarterly template: the merchandise position, partner concentrations, sector verdicts on FY2025-26 data, this quarter's special theme — the five-year migration of incentive design away from production-linked payouts — the policy developments register, the investment-lifecycle monitor, and a statistical annex. Every figure carries its source; every judgment shows its criteria; corrections are displayed, never silent.

July 2026 edition · covering FY2025-26 full-year data and Cabinet decisions to 15 Jul 2026

Interactive bulletins, data JSONs and the PIB register (83,734 releases): herrickshaw.github.io/india-trade-sector-policy-recommendations

Highlights

The position: imports \$776.0bn (+7.4% y/y) against exports \$441.7bn (+0.9%) — a **–\$333.2bn deficit, widened 17.5%** in one year (series –191 → –265 → –241 → –284 → –333). Mineral fuels alone are 26.2% of the import bill; China alone is a –\$112.2bn bilateral gap; the rupee fell 11.9% in twelve months.

The verdicts: re-run on FY2025-26 data, the ten-sector scorecard reads **1 green / 6 amber / 3 red** — both FY25 greens (Electronics –43.5% FDI, Medical Devices –40.4%) reversed; Pharmaceuticals took the green slot (FDI +114% after real disbursal; Penicillin-G made in India again).

The machinery engaged: the IEM implementation ratio broke upward to **82% (2024) and 109.9% (2025)**; environmental-clearance grants accelerated 198 → 734 → 1,102/yr and correlate **0.96** with state implementation; Gujarat runs the full chain at 33.8% of national implementation.

The special theme: incentive design has migrated away from production-linked payouts — new PLI-type schemes fell **11 → 1 → 1 → 0 → 2 → 0** across 2021–2026, and even at the 2021 peak production-linked outlay was only 11.2% of newly committed money. 2026's ~₹1.9 lakh crore wave de-risks inputs: land, credit, insurance, viability gaps.

The delivery gap persists: ₹28,748cr disbursed across the PLI programme ≈ 15% of outlay after five years (Pharma A and Electronics A– carry it; ACC has paid zero; 14 of 58 steel projects withdrew). 836 approved applications programme-wide, but only about half the schemes have ever published per-scheme counts.

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1 · Merchandise trade performance

FY2025-26 closed with imports of **\$776.0bn** (+7.4% y/y; +26.6% over five years) against exports of **\$441.7bn** (+0.9% y/y; +4.7% over five) — imports grew 5.7× faster than exports over the five-year window, and the deficit widened 17.5% in a single year to **−\$333.2bn**.

INDICATOR	FY2025-26	CHANGE	NOTE
Merchandise imports	\$776.0bn	+7.4% y/y	+26.6% over five years
Merchandise exports	\$441.7bn	+0.9% y/y	+4.7% over five years
Trade deficit	−\$333.2bn	+17.5% y/y	−191 → −265 → −241 → −284 → −333
Largest import head	\$203.4bn	Mineral fuels (HS27)	— 26.2% of the entire bill
Currency	₹ −11.9%/12mo	vs ~3.3%/yr prior-decade average	— deficits are paid in forex
Offsetting inflow	FDI \$88.3bn	total Apr–Feb FY26; \$58.85bn equity	(+18%)

TRADESTAT; Exim/MOCI cross-validated within 0.3%; DPIIT factsheets. Deep dives: abstract + trade bulletins on the site.

The export half works; the import half does not yet

Electronics exports rose **+324% over five years to \$54bn** (smartphones are India's #1 export item) — but electronics imports also doubled to **\$104.9bn**: the import bill is the input side of the export success. The only declining export chapters are the cotton-apparel ones PLI Textiles structurally misses. Seven of twelve growth import chapters still have no matching scheme; after the 2026 launches (\$5), the remaining large uncovered heads are **plastics (HS39)** and **inorganic chemicals (HS28)**.

2 · Trade by partner

PARTNER	BALANCE / SHARE	READING
China	−\$112.2bn	More than double the next-largest deficit; 58% of imports are HS84/85 industrial inputs feeding India's own assembly lines — unmoved by six years of PLI
Russia	35.8–35.9% of crude	From ~2.5% pre-2022 with no scheme behind it — market-driven; the ₹12,980cr Bharat Maritime Insurance Pool (Apr 2026) now hardens this lane against insurance exclusion
UAE / Switzerland	−\$26.5bn / −\$23.1bn	Structural gold/gems re-export flows — a deliberately open door, not a substitution gap
USA	Surplus; #1 destination	Top-8 destination in 11 of 12 growth export chapters (\$63.9bn) — a bigger concentration than China's grip on imports; the flat-10% tariff replacement expires 24-Jul-2026

Commerce TIA/TRADESTAT country*commodity validation; details in the country-deficit bulletin.

3 · Sector performance & verdicts (FY2025-26)

All ten sector verdicts re-run on FY2025-26 FDI data: **1 green / 6 amber / 3 red**. Both prior greens reversed hard — a reminder that verdicts decay and must be re-measured quarterly.

SECTOR	VERDICT	CARRYING EVIDENCE
Pharmaceuticals	GREEN	FDI +114% after real disbursal (₹5,433cr, 36% of outlay); investment 237% of commitment; Penicillin-G restored
Electronics	AMBER ↓	FDI −43.5% in FY26 after the FY25 green; exports still #1; LSEM tenure closed → MPMS successor
Medical devices	AMBER ↓	FDI −40.4%; disbursal thin (₹157.15cr to 7 applicants)
Auto / EV / steel / white goods / textiles / food	AMBER	Mixed delivery; steel carries a 24% project-withdrawal rate; textiles payouts began at ₹54.5cr to two unnamed firms
Inorganic chemicals · plastics · (textiles-apparel)	RED	No scheme coverage on the two largest uncovered import heads; apparel sits in PLI Textiles' MMF blind spot

FY26 verdict re-run bulletin (criteria stated per verdict); grades from the PLI report card.

4 · Special theme: the migration away from production-linked design

This quarter's theme chapter, from the programme's 83,734-release PIB register: every incentive launch in the Cabinet record 2021–2026 (93 classified launches), read as one series.

YEAR	ERA	NEW PLI-TYPE SCHEMES	PROD-LINKED SHARE OF NEW ₹
2021	The PLI big bang — plus quiet mission money	11	11.2%
2022	Rescue & consolidation (BSNL ₹1.64L cr, ECLGS)	1	6.2%
2023	Missions & VGF arrive (Green Hydrogen, BESS)	1	13.8%
2024	The capex-subsidy year	0	0%
2025	Funds & mega-packages; payouts migrate to jobs	2 (hybrids)	7.7%
2026 YTD	De-risking inputs	0	0%

Three readings: **(1)** production-linked was never where the money was — the 11 PLI launches of 2021 (₹1.17L cr) were 11.2% of that year's ₹10.5L cr of new commitments; infra missions carried 6× the outlay. **(2)** The "linked" payout base migrated output → design → **employment** (ELI 2025, ₹99,446cr — larger than any single PLI). **(3)** 2026's ~₹1.9L cr wave (Urban Challenge Fund ₹1L cr, gasification VGF ₹37,500cr, BHAVYA parks ₹33,660cr, BMI pool, ECLGS 5.0, NIPU-2026) pays for land, credit, risk and viability gaps — instruments that spend when investment happens, not when output does. After ~15% PLI disbursal in five years, that reads as revealed preference.

Investor implication: underwrite output-linked incentives as upside, not base case (grade-A exceptions: Pharma, Electronics); capex/VGF/credit instruments pay with the build. Windows live now: UNNATI (→30-Sep-2026), Gasification 2026 Round-1, DoP API-CF/SMDI, ECMS (extended), ALMM. The full 8-step investor route (NSWS → KYA → portals → gates) is published as the investor-workflow bulletin.

Five-year evolution bulletin (all 93 launches PRID-cited); beyond-PLI 2026 bulletin.

5 · Trade & investment policy developments

Launches and successions this cycle

- **15-Jul-2026 Cabinet:** MPMS (PLI-LSEM successor: 2.25–5% on mobile sales FY27–31, ₹62,500cr), **Semicon 2.0** (₹1,27,500cr, six pillars incl. a new equipment/materials lane), and **NIPU-2026** (urea investment policy, RoE band 12–16%).
- **Scheme endings observed:** LSEM completed its tenure (31-Mar-2026, first PLI to do so); PLI Drones expired FY24 with no successor; IFLDP's ₹1,700cr window closed (NSWS carried the only formal notice); Interest Equalisation lapsed Dec-2024 → NIRYAT PROTSAHAN; Food Processing sunsets FY27 with no successor announced.
- **Displayed correction:** PM E-DRIVE was **extended** segment-wise (e-2W → 31-Jul-2026, e-rickshaws/carts → 31-Mar-2028; L5 closed 26-Dec-2025) — the live portal superseded the announced two-year window.
- **FDI rules:** Press Note 3 amended (10-Mar-2026) with defined Beneficial-Owner criteria for land-border-country screening; Semicon 2.0 admits OCI-owned companies in design.
- **Attrition disclosures:** 14 of 58 specialty-steel Round-1 projects withdrew; White Goods slid 85 → 80 beneficiaries unexplained; an ACC awardee (20 GWh) vanished from DHI documents; 10 GWh re-tendered.

Verification notes (why this register, not ministry pages)

The 20-Jul-2026 sweep of 16 ministry websites found the estate partly headless (MeitY/DoT/DPIIT content lives in public wp-json CMS APIs behind JS shells) and partly dark (fert.nic.in and texmin.nic.in DNS-dead; mines.gov.in unreachable; msme.gov.in's scheme list unrenderable) — and six flagship scheme pages provably stale. Cabinet releases and live application portals are the reliable surfaces; this report cites PRIDs throughout.

`Scheme registry + ministry incentive catalog (site-verified); PIB index (--update quarterly).`

6 • Investment lifecycle monitor

The programme measures the investment pipeline at seven gates: announcement → IEM Part A (intent) → land + environmental clearance → IEM Part B (production) → incentive disbursal → FDI equity → trade outcome.

GATE	THIS CYCLE'S READING	SIGNAL
IEM implementation ratio	82% (2024) → 109.9% (2025)	Implemented investment exceeded same-year intent for the first time — the 2021-22 intent surge matured into plants
Environmental clearances	198 → 734 → 1,102/yr	Grant flow accelerating; EC grants correlate 0.96 with state implementation value — the best forward indicator found
State leadership	Gujarat 33.8%	Full-chain leader (intent, clearance, production; 178% conversion); top-3 states hold 63.3%; Odisha is #2 implementer with 0.14% of FDI (domestic steel capital)
PLI disbursal	₹28,748cr ≈ 15%	Concentrated in two sectors; ACC at zero; FY25 flow ₹10,114cr and accelerating in electronics/auto
FDI equity	\$58.85bn (+18%)	State-wise attribution remains registered-office-based — a documented data defect, not a measurement

State IEM bulletin; PARIVESH EC pipeline (open API, 113,804 proposals); PLI report card; DPIIT quarterly newsletter.

7 · Statistical annex

A1 · PLI disbursal report card

SCHEME	OUTLAY ₹CR	DISBURSED ₹CR	GRADE
Electronics (LSEM + IT-HW)	11,324*	15,554	A–
Pharmaceuticals	15,000	5,433	A
Food Processing	10,900	1,084	B
Telecom	12,195	~1,175	B
Bulk Drugs / Medical Devices	6,940 / 3,420	~54.8 / 157.2	B / B
White Goods / Solar	6,238 / 24,000	281.4 / 0 (by design)	B– / B–
Drones (expired)	120	30	C+
Auto & components	25,938	2,377.6	D+
Specialty Steel / Textiles	6,322 / 10,683	48 / 54.5	D / D
ACC Battery	18,100	0	F

*combined disbursal spans both electronics schemes. Sources per row in the report-card bulletin (PRIDs + Parliament answers).

A2 · Scheme window calendar

DATE	EVENT
24-Jul-2026	US flat-10% tariff replacement expires
31-Jul-2026	PM E-DRIVE e-2W window ends (as extended)
30-Sep-2026	UNNATI registration closes
31-Oct-2026	Beyond-E20 ethanol decision due
31-Dec-2026	ALMM List-II (solar cells) transition window ends
FY2026-27	PLI Food Processing final incentive year; no successor announced

A3 · Where the deep data lives

Interactive bulletins (24), sourced data JSONs, the PIB register (83,734 releases, 2020–2026, SQL-queryable), the scheme registry, the site-verified ministry catalog, and the 8-step investor workflow: herrickshaw.github.io/india-trade-sector-policy-recommendations. Quarterly refresh follows the repository's blueprint (per-gate change-data-capture; corrections displayed, never silent).